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Acknowledgement : Relevant parts of this course have been adapted and updated from the course MS 62: Sales Management. MS 62 course was prepared by the experts (names mentioned above in Italics) and their profile is as it was in that material.

PRINT PRODUCTION

Mr. Tilak Raj,
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MPDD, IGNOU, New Delhi

August, 2022

© Indira Gandhi National Open University, 2022

ISBN :

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Printed and published by **The Registrar**, MPDD, IGNOU, New Delhi on behalf of the Indira Gandhi National Open University, New Delhi.

Laser Typesetting : Akashdeep Printers, 20-Ansari Road, Daryaganj, New Delhi-110002

Printed at :

BLOCK 1

**INTRODUCTION TO
SALES MANAGEMENT**

BLOCK 1 INTRODUCTION TO SALES MANAGEMENT

This is the first block of the Sales Management Course, in which, an attempt has been made to give you an over view of the Sales Management Functions. It also gives you an exposure to functions of Personal Selling and Sales Process. The Block consists of three units.

The first unit will take you through the role of Sales Management. It explains the nature scope of sales function and the importance of ethics in selling activities.

The second unit is on “Diversity of Selling Situations” which explains how each selling situation is different from other. It discusses the different conditions under which personal selling is especially effective.

The last unit is on “Theories of Selling and Sales Process” in which all the stages of the sales process are systematically discussed and how each stage is to be planned and tackled by the sales man highlighting the do’s and don’ts.



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UNIT 1 SALES MANAGEMENT: ROLE, NATURE AND ETHICS

Objectives

After studying this unit you should be able to:

- understand the nature and scope of sales management
- discuss the evolution of sales management
- describe its role in marketing management
- discuss the objectives of sales function
- understand importance of sales management

Structure

- 1.1 Introduction
- 1.2 Nature of Sales Management
- 1.3 Evolution of Sales Management
- 1.4 Role of Sales in Marketing Management
- 1.5 Sales Management-Formulation of Sales Strategy
- 1.6 Managing ethics in sales environment
- 1.7 Summary
- 1.8 Key Words
- 1.9 Self-Assessment Questions
- 1.10 References / Further Readings

1.1 INTRODUCTION

Sales Management is management of an organization's personal selling function. Sales managers are involved in both the strategic and implementation aspects of selling. They generate direct revenue for their organizations while carrying out their company's marketing strategies in their interactions with the customers.

Sales management can be defined as "Sales management is the management of the personal selling part of a company's marketing plan.

According to American Marketing Association (AMA), sales management is defined as the "the planning, direction and control of the personal selling activities of a business unit, including recruiting, selecting, training, equipping, assigning, routing, supervising, paying and motivating as these tasks apply to the personal sales-force." This definition does not include evaluating and controlling sales-force performance. In effect, the definition makes sales management same as the 'the management of sales-force'. It is not in line

with the overall responsibilities of contemporary sales managers which include, in addition to above,

- Building sales force organization structure and territories
- Coordinating and communicating internally with other functional departments of the organization and externally with the customers, intermediaries etc.

The AMA definition fails to capture the fast paced, expanding role of sales management in satisfying customers and achieving company objectives. Sales managers of today are/have all kinds of new ideas, sales channels and technologies to develop mutually beneficial relationships with customers.

Sales management is considered as a key function in many of the enterprises that include manufacturing and wholesaling. It is also a key function in those enterprises, and firms selling intangibles such as insurance, banking and telecom etc. All these organizations also carry out sales activities in their respective businesses and do face sales management problems that are unique to them.

1.2 NATURE OF SALES MANAGEMENT

The nature of the sales management can be comprehended in three ways;

1. its integration with marketing function
2. scope of sales management
3. roles and skills of sales personnel.

Sales management is viewed as part of marketing management; sales planning needs to be integrated with marketing planning. The former involves personal selling while the later is more strategic and involves marketing team at the head quarter and performs service and support based functions. These functions include promotion and marketing communications, marketing research, market logistics customer service and coordination etc.

The scope and importance of sales management has increased over time. Earlier it was limited to recruiting, selecting, training, motivating and supervising sales personnel. Now, it has expanded to include activities such as participating in strategic planning, forecasting, taking part in budget preparation, designing territories and developing sales force organization structure etc.

The main objective of sales management is to achieve targeted sales volume. Sales managers are also responsible for achieving market share and sales growth related goals. They are involved in setting these objectives.

There are typically three levels of sales managers in organizations;

- top-level, tactical
- middle level and operational
- first level sales managers.

In many medium and large organizations, there are staff managerial positions that provide assistance to line sales managers. These include sales training manager, sales coordination manager and customer service manager.

The roles of contemporary sales managers include strategic planning, coordination, usage of ICT tools and technology and managing channels.

1.3 EVOLUTION OF SALES MANAGEMENT

In the pre-industrial revolution period, small scale enterprises dominated the economy; selling was not an issue. The main challenge was to produce enough goods to meet customer demand. In most firms a single person supervised all business functions including manufacturing and selling of goods. With the onset of industrial revolution in the middle of eighteenth century, factories started producing large quantities of goods and it became necessary to identify and sell to new markets.

Initially, separate functional departments were established to take care of various business problems but later followed by specialized sales departments to solve problem of market expansion. However, another problem remained that of communicating with customers. Gradually, manufacturers shifted portions of the marketing function to middlemen and retailers came into being eventually leading to large retailers and wholesalers. Increasingly, it was difficult for manufacturer's sales department to maintain contact with the customer. Thus adding of middlemen complicated the problem of market expansion.

On the other hand, marketing activities conducted by the manufacturer's sales department grew in importance. Tasks such as advertising and sales promotion became quite complex. The solution lay in splitting the marketing function. New departments were organized to carry out specialized tasks such as advertising, marketing research, exports, sales promotion, merchandising and shipping. Despite the fragmentation, the sales department still occupies strategically important position. The basic responsibility for making of sales has not shifted elsewhere emphasizing the premise that the sales department is the revenue generating division of business.

1.4 ROLE OF SALES FUNCTION IN MARKETING

Managers use 'marketing' and 'selling' as synonyms. However, there is a significant difference between the two. 'Marketing' is a dynamic and much wider concept than 'Selling' and the focus is on the customer rather than the product.

'Selling' has a product focus and is mostly producer centered. It is the action part of marketing and has short term goal of achieving market share. The key focus of any sales activity is to maximise profits through increased in sales activity.

It is to be noted that selling primarily revolves around the interests and needs

of the manufacturer or marketer, while marketing revolves around needs and wants of a consumer.

Marketing is the process of meeting and satisfying the needs of consumers. The task commences with identifying consumer needs and lasts till feedback on consumer satisfaction after the product consumption is received. It is a long chain of activities, which involves product creation, packaging, promotion, pricing, distribution and selling.

According to Prof Theodore Levitt, “The difference between selling and marketing is more than semantic. A truly marketing minded firm tries to create value satisfying goods and services which consumers will want to buy. What is offered for sale is determined not by the seller but by the buyers”.

Seller takes cues from the buyer and the product becomes the consequence of the effort not the vice versa. Selling merely concerns itself with techniques of getting the customers to exchange their cash for the company’s products.

The dilemma in marketing and selling prompts one to resolve the conflict for the purpose of understanding and studying sales management. Both the disciplines are complementary to each other. As explained earlier, a sale is just one of the dimensions of marketing promotion which is part of the core marketing mix elements. In conventional business organizations sales and marketing are treated as two separate functions leading to role conflict and disharmony in the organization due to unhealthy competition. However, lately, selling and marketing have gradually started merging with each other due to common orientation and long term planning perspective. The role of the sales within an organization has become more customers driven than product driven.

1.5 SALES MANAGEMENT – FORMULATION OF SALES STRATEGY

The sales management function, as noted earlier comprises the management of the sales personnel and activities that make up the corporate sales effort. Sales managers are entrusted with the ‘task of organising, planning and implementing the sales effort so as to achieve corporate goals related to market share, sales volume and return on investment. The task involves the sales manager in a set of activities both within the organisation, and outside with other organisations.

Within the organisation he has the responsibility of structuring relationships both within his own department and with interacting organisational entities so that the sales task can be coordinated with other marketing tasks and performed effectively. It also includes allocating and operationalizing the sales effort among the sales personnel.

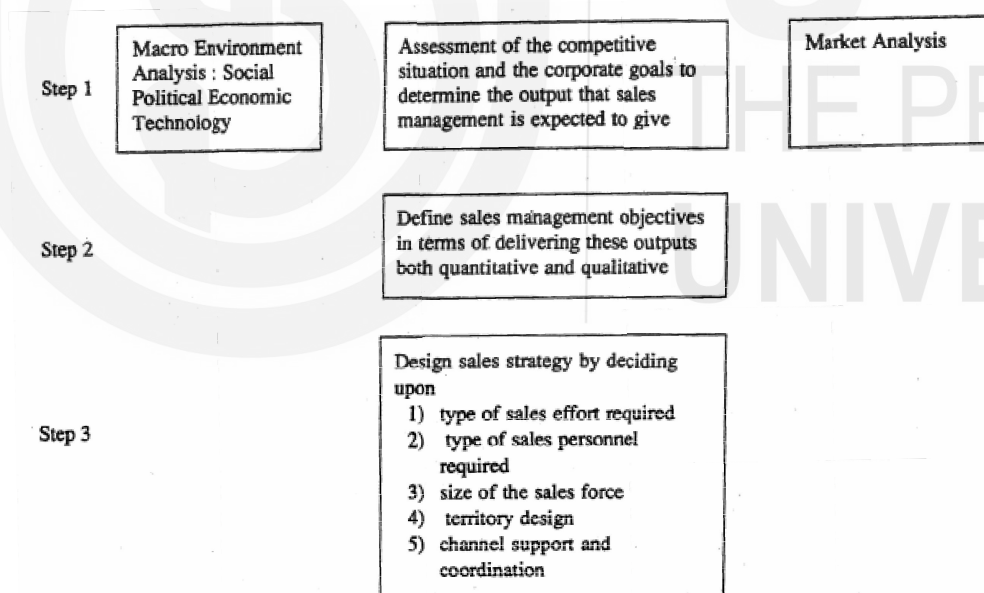
Outside the organisation, his task would include developing and maintaining channel relationships effectively so that the flow of goods and service, and also promotion and feedback is facilitated.

Embodiment of all these functions can be seen in the development of sales strategy which often proves vital to the success of the organisation. Key decision

areas in sales management which are particularly relevant to strategy formulation are:

- ✓ Deciding upon type and quality of sales personnel required
- ✓ Determination of the size of the sales force
- ✓ Organisation and design of the sales department
- ✓ Territory design
- ✓ Recruitment and training procedures
- ✓ Task allocation
- ✓ Compensation of sales force
- ✓ Performance appraisal and control system
- ✓ Feedback mechanism to be adopted
- ✓ Managing channel relationship
- ✓ Coordination with other Marketing department

The above decisions give a fair idea of the scope of the sales management function. Strategy formulation in case of sales would involve identification of the sales goals and designing of a game plan, using the organisational resources at hand, to achieve those goals. The strategy formulation process can therefore be summarised as:



Assessment of Competitive Situation and Corporate Goals

The sales objective is directly affected by the corporate mission or goal which in turn identifies the specific set of common needs and wants the company would like to satisfy. Another input in objective setting is the macro business environment. Variables in the political, economic, social and technological environment have significant bearing on what and how much the company would be able to sell. The environmental scan thus provides pointer to a company's specific opportunities and threats, strengths and weaknesses.

A sound market analysis is also a prerequisite to objective, setting for sales strategy. Specifically, the company would need to know.

- i. Current size and growth rate of the market. In multiproduct companies this analysis would have to be made by product/market and by geographical territories covered:
- ii. Consumer needs, attitudes and trends in purchasing behaviour
- iii. Competitor analysis covering
 - current strategy
 - current performance, including market share analysis ® their strengths and weaknesses
 - expectations as to their future actions.

It may be noted that the role and scope of the sales functions of an organisation is related to the competitive situations facing its products in each of the markets participated by it.

Under conditions of pure competition, each seller is too small to be able to influence prevailing market price. Identical undifferentiated products make it difficult to specialise sales effort. Under this sort of competitive situation, sales effort is usually limited to maintenance of adequate market supplies. Most of the markets today are competing under varying degrees of monopolistic competition where there are large number of sellers for a product but the offering of each seller, is capable of being differentiated in a discernible manner.

However, in the Indian situation most marketers seek to differentiate 'their products through variation in product attributes, packaging and promotional efforts. Under these market conditions sales efforts support the promotion and maintenance of market share objective of the firm and coordinate with the distribution and customer service needs of the product. Distribution function, on its part, complements the sales efforts in so far as the regular availability of products at almost every purchasing point is concerned. The market conditions characterised by oligopoly are also characterised by aggressive competition. Selling effort here becomes an effective tool of market cultivation, building dealer relationship and maintaining them, providing vital informational feedback on competitors and their market operations.

In case of new product, where the marketer is faced with little or no direct competition, selling effort plays a very vital role in market cultivation. Missionary 'Salesmen' are used to familiarize and demonstrate the product, both to the channel members and the ultimate consumers.

These competitive situations affect the corporate goals relating to growth and profit which in turn affect the marketing goals. The sales related marketing decisions which significantly contribute to sales strategy formulation that affect both the quantitative and the qualitative sales management objectives are:

- a) decision on what to sell - i.e. what products and what specific mix of products the company has decided to sell.

- b) decisions on whom to sell - i.e. whether to sell directly to the ultimate consumer or to make the wholesaler or the retailer the first level to contact. This has vital implications for the size and type of sales force needed.
- c) decision on the price.

These decisions define the scope of the sales effort, in the total marketing effort.

Setting Sales Objectives

Sales objectives are intended to direct the available sales resources to their most productive use. These also serve as standards against which actual performance is compared. The sales objectives are stated in quantitative and qualitative terms. The qualitative goals generally relate to strengthening dealer relationships, developing good consumer support, nullifying product misinformation, attaining desired corporate image.

The qualitative sales objectives reflect the expectations the top management regarding the contribution of sales function to the total marketing effort. They, therefore affect both the size and quality of the sales force. For example when a company selling high value, technical household products relies only upon its own sales personnel to carry out the entire sales function and take up part of promotional responsibility too, the quality and the size of the sales personnel it requires would be significantly different from that of a company where sales personnel are, only required to coordinate with and service channels. Examples of the products could be the Eureka Forbes salesman selling vacuum cleaners to consumer and the Usha salesman servicing Usha dealers. In the former case the salesmen are expected to carry out the entire selling and market cultivation function while in the “second case, they are mainly expected to coordinate and service the distributors. The qualitative sales objectives are relatively long term one and emanate out of the marketing policy; of the company.

Quantitative objectives on the other hand relate to the operating results that the company would like to achieve. They, like the qualitative objectives-are heavily dependent on a keen analysis of competitive situation and corporate goals, and obviously would vary over operating periods. Quantitative, sales objectives could be in terms of sales volume, market share or number of back orders per operating period. Drawing from these quantitative objectives, goals can be set for the sales organisation in terms of:

- a. Sales volume in units or rupees
- b. Sales cost
- c. Accounts receivables
- d. Inventory levels Basic. Functions
- e. Dealer support
- f. Feedback input

It would be worth noting here that both the qualitative and quantitative sales objectives are set in context of the competitive position of the company. As we get down to the actual task of formulating the strategy we evaluate alternative plans, against the backup of the competitive strength and weaknesses of the company at the market place and try to build up the sales effort so as to achieve the desired goals.

The important decisions involved in this task are given below.

Determination of the Type of Sales Force Needed

The quality of the sales personnel needed, would depend upon the quality of contribution that top management expects the sales organization to make as well as the actual workload that is expected to be generated. Specifically, it would depend upon the role that the salesmen are expected to perform. If the company has decided to do significant amount of preselling through its advertising the salesman's job is considerably simplified and this has implication for the type of salesmen needed.

Companies like Siemens, manufacturing sophisticated technical equipment expect their sales engineers to carry out the entire span of activities from commissioning and installation of equipment to after sales service. You can therefore clearly envisage that the type of sales personnel would vary across organizations, depending upon the role that has, been decided for them in the organization. Some of the factors that influence the type of sales person are product characteristics, customer characteristics; competitor's practices channel design and corporate marketing policy.

A strategic choice which has to be made at this stage is related to the degree and kind of specialization needed. Should the company go in for product specialists or market specialists or both? This is often a decision which is taken along with the decision regarding segmentation strategy.

Product specialists would be required when the product or its usage is highly technical, requiring demonstration and/or advice from the sales personnel. Marketing of banking services provides a good example. Service packages like agriculture financing, short and long term institutional financing etc. have package specialisation as the product on offer is typical.

Market specialisation would be needed when different groups of target customers need specialised service or different sales approaches. In still other situations salesman may need to be knowledgeable about more than one line of company's products and deal with more than one set of customers dictating a combination of market and product expertise.

Activity 1

Ascertain the type of selling effort of the sales personnel in an organization that you are familiar or associated with and analyze whether the type of specialization of the sales force is by product or by markets or by both. Also find out as to what factors necessitated this kind of specialised selling effort.

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Determination of the Size of the Sales Force

Another key decision is the determination of the number of sales persons needed to achieve the sales objectives. In case the hiring is more than the required number would mean that the company is bearing unnecessary costs at the expense of its net profits.

On the contrary hiring less than required would mean losing opportunities for exploiting sales prospects. It is not easy to prescribe an ideal sales force size as the important determinants of sales force size-market size, and potential, competitive activity, allocation of sales task between the channel and corporate organization differ from company to company. With respect to their own set of variables, companies do try to arrive at an ideal figure by using various methods such as

- (a) the incremental method,
- (b) the workload method and the
- (c) sales potential method

The incremental method utilizes incremental reasoning in that it suggests that salesmen should be added to the sales force if incremental margins exceed incremental sales costs. The sales potential method uses estimates of sales personnel units (which mean the set of activities expected to be carried out by one personnel unit); expected productivity of sales personnel and the estimated sales volume to arrive at the ideal size. In the workload method, through the computation using total market size, sales, volume potential and volume of non-selling activities like travelling the company arrives at the total workload. Dividing this by the work it expects one individual salesman to carryout, gives the sales force size.

Activity 2

Select any three organizations primarily using direct selling methods. Ascertain the sales force size in these organizations. Analyze the reasons for difference in the size.

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B
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C
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Organizing the Sales Effort: - Territory Design

Personal selling objectives set the tone of the selling activities to be performed in an organization. Defining these activities and their level of performance would lead you to an estimate of how many sales personnel at various levels are required in the organization.

The strategic decisions here include the organizational structure of the sales force and the choice of the field sales organization.

Companies may treat their entire market as their total field of operation and assign sales duties to their personnel indiscriminately but more often than not they prefer to divide the market into sales territories either on the basis of geographical size or sales potential, or a combination of both because of valid reasons. Of these the customer related reasons are that the territories provide for a more intensive market coverage yielding to higher sales and better customer relations. For the salesperson they facilitate performance evaluation and foster a far higher degree of enthusiasm and clearly defined responsibilities resulting in lower turnover and higher morale. Managerially it becomes possible to have a better degree of control, reduce expenses and evolve coordinated promotion plans. Review of call pattern territory-wise and evaluation of territory performance aided by field visits may help managers in evolving effective future practices.

While creating territories sales managers can choose from different type of bases:-

- **Geographical basis** which utilizes the existing geographical boundaries and assigns them to the sales personnel.
- **Sales potential basis** which consists of splitting up a company's customer base according to the dispersion of its sales potential.
- **Servicing requirement** basis where the company splits up its total market according to servicing requirements of its current and prospective customers (servicing here means maintaining and developing the account).
- **Workload basis** an approach considers both account potential and servicing requirements and in addition reflects the difference in workload created by topographical, location and competitive factors.

Establishing and Managing Channels Support and Coordination

The channels of distribution usually act as the only point of contact the final buyer has with the manufacturer. They together with the sales organisation of the manufacturers collectively bear the responsibility, of consummating exchanges with the final buyers. When indirect distribution is adopted, it is imperative that the sales organisation initiates dealer cooperation programmes. Dealer support typically has to be, ensured in the area of maintenance of adequate stocks of the products and local promotion in the form of point purchase displays and local advertising. Another key area of support is the provision of market feedback the norms of which must be decided between the dealer network and the manufacturing organisation.

The management of manufacturer dealer cooperation includes:

- a. Choice of appropriate dealer incentive programmes to stimulate distributive outlets to greater setting effort.
- b. Deciding upon procedures for sharing information with the dealer network.
- c. Deciding upon measures to ensure and promote dealer loyalty.

Activity 3

Talk to one manufacturer each of

- a. computer and related peripherals,
- b. confectionary products and also their respective distributors and find out the methods that have been adopted to ensure
 - i. maintenance of stocks
 - ii. adequate feedback
 - iii. promotional support in each case

a) i)

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ii)

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iii)

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b) i)

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- ii)
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- iii)
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1.6 MANAGING ETHICS IN SALES ENVIRONMENT

Ethics describes the moral conduct of behaviour. Business Ethics is the study of how business persons behave when confronted with situations with moral consequences. Sales management ethics is the specific part of business ethics that deals with ethically managing the sales function.

Professional Sales Codes of Ethics

Codes of ethics express the values of a firm by specifying specific behaviours that are consistent or inconsistent with those values. Whether codes of ethics are effective is often debated. Mere existence of codes does not guarantee an ethical environment; these need to be put in to practice through favourable work culture. Codes often list employee behaviours that are not acceptable to the firm. Each industry is confronted with unique ethical in sales related codes of ethics:

Conflict of interest	Bribes, gifts, kickbacks
Fraud and deception	Moonlighting
Use of insider information	Illegal political payments
Violation of secrecy agreements	Violation of laws in general
Falsification of sales accounts	Justifying the means by intended end
Illegal payments abroad	Over-invoicing

Some sales related unethical behaviours

Offering better prices and terms for customers who buy exclusively from one person
Using customers to get information about competitors' activities
Attracting customers with lower priced products, then shift to more expensive products
Offering bribe in return for signing a purchase agreement

Using expense account to pay for personal expenses
Padding an expense account
Misleading someone about product safety by withholding true information
Overstating list prices to give a customer a refund

Dealing with unethical behaviour

Sales managers should not encourage/tolerate sales behaviours inconsistent with professional sales standards of the firm. Dilemma arises when sales managers have to choose between ethics and sales success. An effective sales manager strives to discipline all salespersons with the same standards. Although unethical selling tactics may benefit firms in the short run, they almost end up being detrimental in the long run.

An ethical work climate is the way employees view their work environment on moral dimensions. It has four aspects; policies and rules, trust and responsibility, peer behaviour and sales emphasis. Policy and rules need to be put in place and internalized by employees. Trust and responsibility dimension define how far people are trusted to behave in a responsible manner and are held responsible for their actions. Peer behaviour is the extent to which employees view co-workers as having high moral standards. Sales emphasis is the extent to which employees feel pressured to prioritize increased sales, profits over all other concerns. Strong sales emphasis coupled with strong controls leads to a more negative ethical work climate.

1.7 SUMMARY

After going through this unit, you would have learnt about the nature, scope, role and evolution of sales management. You would have also acquired understanding of the process of developing the sales strategy and the major determinants. Besides you were also introduced to the importance of ethics specific to sales function or business in general and how to manage them in your respective jobs/positions.

1.8 KEY WORDS

- Monopolistic competition** : A market situation where many sellers offer differentiated products to a large number of customers.
- Sales objectives** : These are intended to direct the available sales resources to their most productive use and serve as standards against which actual performance is compared.
- Territory** : The geographical area a sales person is assigned.

Vertical integration : The strategy by the manufacturer, which involves acquiring ownership rights down the channel of distribution.

1.9 SELF-ASSESSMENT QUESTIONS

1. Explain nature, scope and importance of sales management.
2. Discuss the role of sales management in marketing function.
3. How do the sales objectives affect the designing of sales strategy?
4. Explain the evolution of sales management function over time.
5. Describe the key decision areas in sales management.

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Online Resources

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2. Evolution of Sales Management: https://www.youtube.com/watch?v=_Sb_RTVIRXc
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4. Ethical issues in Sales Management: <https://www.youtube.com/watch?v=4PTeZOQWzsc>

UNIT 2 DIVERSITY OF SELLING SITUATIONS

Objectives

After going through this unit you should be able to:

- to have an overview of personal selling
- explain types of personal selling
- discuss various personal selling approaches
- appreciate the diversity of personal selling situations
- comprehend qualities and skills for a successful sales person

Structure

- 2.1 Introduction
- 2.2 The growing importance of personal selling
- 2.3 Situations conducive to personal selling
- 2.4 The changing role of Salespersons
- 2.5 Types of personal selling
- 2.6 Classification of personal selling approaches
- 2.7 Diversity of selling situations
- 2.8 Qualities and skills of an effective salesperson
- 2.9 Nature of activities in Sales situations
- 2.10 Summary
- 2.11 Self-Assessment Questions
- 2.12 References/ Further Readings

2.1 INTRODUCTION

Personal selling may be described as ‘Direct communication between paid representatives and prospects that lead to transactions, customer satisfaction, account development and profitable relationships. The terms ‘Personal Selling’ and ‘Salesmanship’ are often used interchangeably. However, there are some key differences between the two terms.

Salesmanship is seller initiated effort that provides prospective buyers with information and motivates them to make favorable decisions concerning the seller’s products or services. ‘Personal Selling’ on the other hand is a highly distinctive form of promotion. It is basically a two-way communication involving not only individual but social behavior also. It aims at bringing the right products to the right customers.

It takes several forms including calls by company’s sales representative, assistance by a sales staff, and an informal invitation from one company executive to another.

It is employed for the purpose of creating product awareness, stimulating interest, developing brand preference, negotiating price etc.

Thus keeping in view, the diversified nature of personal selling, we will discuss the growing importance of personal selling its changing role, functions and process in this unit.

2.2 THE GROWING IMPORTANCE OF PERSONAL SELLING

The increase in complexity of products has increased the importance of personal selling. Manufacturers of highly technically complex products such as computers, smart phones, microwave ovens, remote control equipment etc. depend more on personal selling than do grocery or other FMCG products.

Ever growing competition from, domestic and foreign sources have also increased the importance of sales persons in the marketing effort of a firm. In personal selling, company's sales persons are often referred to as sales representative, sale person, they remain on the company's payroll or work on commission basis or both to push the product in the market by positively motivating the prospective customer through oral presentation or demonstrating the products in question.

Consumers want all sorts of goods and services but inertia may keep them from buying. Sales efforts stimulate the consumption process by reducing people's inherent reluctance to make purchase decision. In fact, sales person act as catalyst in the market place.

When the nature of the product is such that the buyers need special information, in order to use it properly, sales representative acts as a consultant to consumer, to apprise them of product technicalities and their usage. Sales persons also work out the details of manner and timing of given physical possession.

In case of industrial products, the promotion mix mostly consists of personal selling rather than advertising. Being high value and complex products, personal contact with the customer is essential to convince him of the product's quality and utility.

On the other hand, FMCG companies use personal selling together with advertising, to influence prospects to try their brand. But personal selling in this case cannot substitute for advertising; it can only be used tactically to intensify marketing effort, mainly because it is expensive.

Personal selling is more effective during product launching stage.

For example: Eureka Forbes a manufacturer of appliances which includes vacuum cleaner and a number of home care appliances adopted personal selling for its premium product vacuum cleaners. Since the vacuum cleaner is a high value product, demonstration is necessary to convince buyers, and personal selling has successfully achieved this. Other companies for instance Johnson and Johnson for its product in the so called 'embarrassment' category, like sanitary napkins or contraceptive uses personal selling successfully.

During the product launching stage companies selling products like Bru coffee, Pepsodent toothpaste, and Surf excel, Parachute coconut oil etc. have used personal selling methods to attract prospective buyers.

Factors Driving Personal Selling in the Indian context:

- To supplement pan India media, many companies find it expedient to extensively use personal selling to achieve their promotional objectives.
- Companies which cannot afford a large outlay for advertising on a regular basis also find personal selling a more reliable method.
- The vast network of distribution systems needs the support of the manufacturer sales force for market combing as well as development.
- Low levels of literacy and lack of adequate customer education regarding various products make personal selling a very effective method in product adoption particularly in the rural markets.
- Orientation of Indian Consumers is such that they want the best value for their money, owing to high marginal value of rupee, which necessitates personal selling.

The factors discussed above individually or in combination make personal selling an integral part of the communication mix of the company.

2.3 SITUATIONS CONDUCTIVE FOR PERSONAL SELLING

In certain marketing situations, personal selling provides an effective and efficient solution to most of the selling problems. However its economic efficiency relative to other element of the marketing mix needs to be thoroughly appraised.

Let us discuss some of the situations when personal selling in a company becomes more relevant.

Product Situation

Personal Selling is relatively more effective and economical in case:

- When a product is of a high unit value like xeroxing machine, computers etc.
- When a product is in the introductory stage of its life cycle and requires creation of core demand.
- A product requires personal attention to match specific consumer needs e.g. insurance policy.
- Product requires demonstration e.g. most of the industrial products.
- Product requires after-sales service.
- Product has no brand loyalty or very poor brand loyalty.

Market Situation

Personal selling situation can be effectively utilized when:

- A company is selling to a small number of large-size buyers.
- A company sells in a small-local market or in government or institutional market.
- Desired middle men or agents are not available.
- An indirect channel of distribution is used for selling to merchant-middlemen only.

Company Situation

Personal selling is more relevant and economical when:

- The company is not in a position to identify and make use of suitable non- personal communication media.
- A company cannot afford to have a large and regular advertising, outlay.

Consumer Behavior Situation

Personal selling is more effective when:

- Purchases are valuable but infrequent.
- Consumer needs instant answers to his questions.
- Consumer requires persuasion and follow-up in the face of competitive pressures.

2.4 THE CHANGING ROLE OF SALESPERSONS

Due to increasing importance of personal selling, the concept of personal salesman has undergone a seachange from engaging speaker to consultant.

However, it should be noted that only well- developed and established companies have reached to the consultant stage level. Also, every selling task does not require it. Thus, one or more strategies of personal selling discussed here are used in Indian companies. Table 1 shows-the activities relevant to the use of each strategy.

Table 1
Changing Role of the Sales Representative

Strategies for Selling	Activities
Business Management	■ Manage accounts and Territory strategies as a strategic business unit ■ Invest time and expenses in the most profitable opportunities ■ Sell to meet the client's total system and long term needs. Be a consultant

Client Profit-Planning Strategies	■ Become part of the clients' plan ■ Expand to other department ■ Find new uses for your product ■ Services are an important part of the offer at this point. ■ The customer becomes a client. ■ Perceive, classify and serve the customer's needs.
Negotiation Strategies	■ The product is adjusted to meet the customer's need. ■ The representative understands the immediate and narrow needs of the customers.
Persuasion Strategies	■ The representative tries to fit the customers into the existing product mix by skillfully overcoming objections
Communication Strategies	■ The representative is a personal communicator, providing product and service information close to the point of the buying decision.

Adapted From: M. Haven, J. Cribben and H. Keiser, Consultative Selling American Management Association, Inc. New York 1970 eds G.D. Hughes and C.H. Singler 'Strategic Sales Management' Addison-Wesley Publishing Co. London, 1983, Page 7.

Communication Strategies

At the lowest level of personal selling, the sales representative is an alternate medium for communicating information about the product or service offered by company.

The only strategy appropriate for increasing the sales at this level is in engaging communication. There is little reason to use representatives as a communication medium when there are alternative mass communication media like media, TV etc.

Persuasion Strategies

The persuasion level requires the sales representatives to go beyond the role of a mere communicator to the role of understanding to consumer needs. At this stage, the sales representative tries to position the customer into the existing product or service mix by skillfully anticipating and overcoming customer objections.

Negotiation Strategies

During negotiation, the product and commercial terms are adjusted to meet the customer's needs rather than just attempting to skillfully overcoming the objections as practiced in previous stages. The critical skill at this stage of

selling is analyzing and understanding the customer needs and determining how the company's products and services can meet these needs. At this point, the customer becomes a client and the process of consultative selling begins.

Client Profit-planning Strategies

In India, client profit-planning strategy is applicable in industrial selling. The representative is put to work with client's team to learn about profit-planning system, product, finance, marketing, research and development and future plans etc. so that the product could be designed and developed to meet the client's needs and wants there by a win- win situation exists between the seller and the buyer.

Business Management Strategies

At this stage professional representative is responsible for managing territory as a strategic business unit-investing time and expenses in most profitable manner. Currently Indian companies are using a system of national account management in which manager is responsible for all sales to a few key accounts. Territory representatives along with sales managers and accounts managers develop business strategies and meet client's objectives to achieve the bottom-line.

2.5 TYPES OF PERSONAL SELLING

Personal selling can be broadly classified into following types:

- Industrial selling
- Retail selling
- Services selling

Industrial selling

Industrial selling is basically known as B2B selling. It has further sub-categories on the basis of customers served: These are discussed below:

- i. ***Selling to re-sellers:*** A re-seller is wholesaler or a retailer or an intermediary who buys finished goods and resells them to the end users. The objective of a salesperson is to gain larger shelf space and higher point-of-purchase display so that the products reach the ultimate customer quickly.
- ii. ***Selling to business users:*** In this case, the output of one producer enters the production process of another producer to manufacture a final good for the consumption of the end users. The examples include producers of heavy machines, ball bearings and electrical appliances and accessories etc.
- iii. ***Institutional selling:*** Institutional customers use the products in their day-to-day operations. The salesperson sells the goods to the institutional consumers but the product is used to provide support to the buyer's business rather than in producing the buyer's products.

- iv. ***Selling to Government:*** In most nations, government is a major buyer. A salesperson's ultimate users are the government employees. The government buying procedures are different from procedures followed by institutional buyers.

Retail Selling

Retailing can be described as all activities involved in sale of goods and services to ultimate consumers for personal use or consumption. In retailing, the consumer approaches a seller and hence the retailer directly sells to the ultimate consumer. The retailer purchases large quantities from the manufacture and sells them in smaller assortments as demanded by consumers.

Services Selling

Services are activities or benefits provided to consumers. The unique characteristics of services are intangibility, variability, perishability and separability. These distinguishing features of services compared to physical goods pose greater challenges in selling of services.

2.6 CLASSIFICATION OF PERSONAL SELLING APPROACHES

In this section, we look closely at alternative approaches to personal selling that professional salespersons may choose from to best interact with customers. There are five basic approaches to personal selling. These are:

1. Stimulus response
2. Mental states
3. Need satisfaction
4. Problem solving and
5. Consultative

Stimulus Response Selling

It is the simplest form of selling. The key idea here is that various stimuli can elicit predictable responses. Sales people furnish the stimuli from a repertoire of words and actions designed to produce the desired response. Continued affirmation method, in which a series of questions or statements furnished by the salesperson designed to condition a buyer to answering 'yes' eventually, is an example.

Mental States Selling

Also called formula approach to personal selling, assumes that the buying process for most buyers is essentially identical and that the buyers can be led through certain mental states or steps in the buying process. These mental states are typically referred to as **AIDA** (Attention, Interest, Desire, and Action). Appropriate sales messages provide a transition from one mental stage to the next. It relies on a highly structured sales presentation; where salesperson does most of the talking. It forces the salesperson to plan the presentation prior to

visiting the customer. It helps him to recognize the importance of timing as an important element in the purchase decision process and that careful listening is key to determining which stage the buyer is in at any given point.

Need Satisfaction Selling

It is based on the premise that the customer is buying to satisfy a particular need or set of needs. It is the salesperson's task to identify the need; then to help the buyer to meet the need. Unlike stimulus response and mental states methods, it focuses on the customer rather than the salesperson who uses a questioning; probing tactic to uncover important buyer needs.

Problem-Solving Selling

It is an extension of need satisfaction selling. It goes beyond identifying needs to developing alternative solutions for satisfying these needs. Sometimes, even competitors' offerings are included as alternatives in the purchase decision.

The approach requires educating the customer about the full impact of the existing problem and clearly communicating how the solution delivers significant customer value. The key to success lies in the salesperson's ability to get the buyer agree that a problem exists and solving it is worth the time and effort required. The approach is suitable in technical sales situations.

Consultative Selling It is the process of helping the customers reach their strategic goals by using the products, services and expertise of sales organization. The approach focuses not just meeting the needs but achieving strategic goals. To this end, salespersons work in collaboration with the customers.

2.7 DIVERSITY OF SELLING SITUATIONS

Considerable diversity exists among personal selling situations. Consumers often come across variety of selling situations. Differences in marketing plans cause each company to have individualized selling styles. Each type of selling job requires the sales person-to perform variety of different tasks and activities under different circumstances. The job of a soft drink driver salesperson who calls in routine fashion on a number of retail stores is different from that of a computer sales person who sells a system for managing information to executive of a consultancy firm.

Before categorizing sales persons into basic selling styles, one convenient way to classify, various types of sales jobs is to classify them on the basis of the creative skill required in the job, from simple service - or repeat order selling to the complex developmental selling.

It may be helpful to distinguish between *service selling* and *developmental selling*. Service selling aims to obtain sales from existing customers whose habits and thought patterns are already known and conducive to such sales. On the other hand, development selling seeks to create customers out of people who may not view the salesperson's company favorably and are likely to be resistant to changing present sources of supply.

Different sales positions require different amounts and kinds of service and developmental selling. These positions range from very simple to highly

complex. These sales positions may be categorized into three exclusive groups as follows:

- I. Group A (Service Selling)
- II. Group B (Developmental selling)
- III. Group C (Essentially developmental but requiring unusual creativity)

Each of these can be further classified into further sub-groups. Description of each group together with their sub-groups follows.

Group A (Service Selling)

The group comprises of sub-groups and is discussed as follows:

Delivery Sales person

The primary job of the delivery sales person is to deliver the product e.g., soft drink, bread, milk etc. The selling responsibilities are secondary. Good service and a pleasant personality may lead to more sales.

Inside Order Taker

The retail sales person standing over the counter is an inside order taker. They are retail assistants; whose role is to complete the transaction. The customer comes to the sales person with the intention to buy a product or service, the sales person only serves him or her. He/she receives the payment and passes on the goods to consumer as in super stores such as Big Bazar, Reliance fresh etc. The sales person may use suggestion selling but ordinarily cannot do much more.

Outside Order Taker

The soap or spices sales person calling on retailer is an outside order taker. They do little creative selling. In contact with store personnel these representatives actually may be discouraged from doing any hard selling. That task is left to executives higher in the hierarchy their main task is to respond to the customer calls rather than seek new customers. They visit customers regularly. Sales persons from Eureka Forbes are included in this category

Missionary Sales People

Also called order creators, these sales persons are not expected or permitted to solicit an order. Their job is to build goodwill or to educate actual or potential user or provide services for the customers, as in the case of Medical representatives, working for the pharmaceutical company.

Technical Sales

The most distinctive characteristic of technical sales is the product knowledge required by the sales person, unlike the consultative sales, where sophistication in organization relationship and persuasive ability are sales persons' most valuable assets. The time required to sell the product is relatively less than consultative sales.

Most of the technical purchasing requires approval of several people but only one or two persons in buying organization with technical knowledge influence decision. If the sales representative is able to satisfy; these people with product characteristics, application, and installation process etc. approval from higher

management is usually forthcoming. The technical sales persons though not strangers to the process of making a sale, are trained to utilize the rational approach; by going into details of product utility and features.

Commercial Sales

This generally includes non-technical sales to business, industry, government and non-profit organization e.g., office equipment, wholesale goods, building products, business services etc. Unlike the previous two types, it is customary for the commercial sales person to make sales on first or second call. The process stresses approaching right person (decision maker), making a smooth presentation and closing the sales.

It includes order takers, to follow up and maintenance of accounts and order solicitor, to develop new accounts. Since these require different approaches, they normally require different personality traits e.g. the order getter is expected to be more assertive and highly motivated.

Direct Sales

Direct sales are primarily concerned with the sales of products and services to ultimate consumers e.g. restaurants, door to door sales and insurance etc. There is normally some emotional appeal associated with this type of selling. Thus, sales persons are required to possess strong persuasive ability. Often the time required to close the sale is short in the case of above product categories. In fact, sales persons are trained to close the sales on the first visit because it is felt if consumers are given time, they will either cool off from buying or will buy from competitor.

Group B (Developmental selling)

Creative Sales person of Tangible Products

In sales job it is often difficult to conduct creative selling for tangible product such as vacuum cleaners, Automobiles, Aircraft etc. The job happens to be difficult because the customers may not be aware of their need for the product or they may not realize how new products can satisfy their wants better than those they are presently using. When the product is of a technical nature, here, the role may overlap with that of the Sales Engineer.

Creative Sales person of Intangible Product

Some of intangible products such as insurance, advertising services, consulting services, communication systems or educational programmes, require creativity of sales person to handle the situation. Generally, selling intangible products is difficult as their benefits are not evident and cannot be demonstrated tangibly.

From the above-mentioned variety of sales jobs, it is clear that different sales positions require different types of skills. In contemporary markets where self-service stores and counters have made the selling task easier, technically developed products or intangible items require greater amount of creativity and perseverance on the part of sales person. To facilitate an understanding of the various roles of sales person, they can be grouped into four task specific determinants such as, consultative, technical commercial and direct sales.

Consultative sales is characterized by the product or service that is sold at the higher level of an organization e.g. computer system, complex industrial systems or management consultancy service.

The decision to purchase such products involves higher capital outlay thus sales job requires a low-key, low-pressure approach by the sales person. It would also require a very strong knowledge about product, patience to discuss product with several people of organization and potential benefits to the user. Even at times when the progress of sales slows down representative has to make creative and sensitive efforts to resume interest but without appearing to exert pressure on the prospect.

Group C (Basically developmental but requiring unusual creativity)

Political, Indirect or Back-Door selling

The salesperson sells big ticket items, particularly commodities with essentially no differentiating features. Sales are consummated through rendering highly personalized services to key decision makers in buying organizations.

Selling wherein Salespersons engaged in multiple sales calls

Selling involve sales of big-ticket items where sales persons are required to make presentations to several individuals in the buying organization, usually a committee.

The more development selling required in a particular sales job and the more complex it is, the harder it is to make sales. The amount and kind of developmental selling depends on the nature of products, prospects and customers.

The easiest sales are self-service and the most difficult sales require developmental selling and creativity.

Activity 1

Compare the following types of salesmen:

Personal Selling

- a. Missionary salesmen Vs Tangible product salesmen
- b. Intangible product salesmen Vs Sales Engineer
- c. Inside order taker Vs delivery sales person

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2.8 QUALITIES AND SKILLS OF AN EFFECTIVE SALESPERSON

The following section discusses the qualities and skills required to be an effective and successful sales person.

It is said that salesmen are born and not made, while others believe that training can help in making good salesmen irrespective of these opinions. A good salesman has certain qualities and abilities as a result of which he is able to perform better than others. In this section we discuss qualities of a good sales person.

Philip Kotler has identified two basic qualities of a good salesperson namely, empathy and persuasion. But others have listed more. Some of the qualities of a good sales person are as follows:

1. Ability to assess customer's needs and desires: He is alert and quickly determines what the customer wants and the best way to sell.
2. Ambition: He likes to do a good job and is interested in getting ahead with your company.
3. Appearance: Appearances mean a lot these days and the successful salesman is neat and well organized. He presents himself well in person. Also, he keeps his belongings neat and ready for use.
4. Business Sense: He understands that one is in business to make profit and quickly learns the details of buying organization.
5. Courtesy: He reveals a sincere desire to help customers and treats them as guests even when he visits their places of business.
6. Creativity: Imagination, vision and the ability to create ideas makes one dynamic.
7. Curiosity: He is willing to learn all he can about his job, products customers and the competition.
8. Enthusiasm: There is nothing that can drain away a prospect's buying interest more than a docile salesman. Dullness should be left behind. A salesman must exhibit enthusiasm during and after the sales call.
9. Quantitative ability: He should have the mathematical ability to figure and fill up order form correctly and to make the necessary reports.
10. Flexibility: A good salesman is able to adapt to a variety of customers. Each contact may require adapting the sales presentation, verbal articulation and even appearance.
11. Friendliness: A salesman should be able to make people like him and he must like to meet people.
12. Writing ability: He must write legibly so that his paper work can be readily understood by his office people and by his customers.
13. Health: Good health generates energy and energy is needed to sell. Poor health prevents many salesmen from fulfilling their potential.

14. Integrity: A salesman must be trusted to do his job well. He cannot help but be successful when his customers trust him.
15. Interest in the job: He should be passionate about selling and working for his company.
16. Knowledge: In some businesses, a salesperson must also have a thorough knowledge of highly specialized products or services his company offers. In many instances, this knowledge can be gained only through years of experience.
17. Loyalty: Salesperson must be able to impress upon his customers the idea that his company is the best in the business.
18. Mental abilities: He should be intelligent to understand firm's products and those of the competitors. He should also be able to understand prospective customers and know how to act under varying conditions.
19. Motivation: He must have more than just an interest in selling. Psychologists have found certain predominant patterns in men who have become really successful sales men. They live in the present and not in the future. They do want power over others and prefer not to work under close supervision.
20. Originality: He is constantly searching for new ideas to be used in selling the products and will suggest better ways of doing things.
21. Persuasiveness: Very few products actually sell all by themselves. These must be sold. Salesperson must have the ability to get people to agree, there are situations when persuasiveness may vary keeping in view the consumer's response.
22. Poise: A salesperson should be positive and confident, energetic and business like. He should be able to demonstrate to customers that he knows what he is talking about.
23. Self-starter: An effective salesperson works well without constant supervision and is able to make decisions on his own.
24. Speech: He can speak clearly and maturely in a natural tone. He can emphasize sales points with sincerity and friendliness.

2.9 NATURE OF ACTIVITIES IN SALES SITUATIONS

A typical day in a salesperson's life includes making certain number of calls, opening of new accounts, analyzing the account lost, if any, sales presentation, closing of initiated sales, preparing daily reports and keeping records of transactions. We now discuss some of the important activities.

Problem Solving Activity for the Customer

Problem solving requires substantial knowledge and decision-making skills. In case where prospective customers are not aware of utility of products or services in question, there is a problem. The salesperson can contribute by identifying and suggesting best solution for it. In many sales situations, these activities make up a substantial part of the total sales effort.

Co-ordinating Buyers and Sellers Activities

With a diverse and complex system of contemporary business situation there is a need for a catalyst to bring together and work with the parallel departments of supplier and customer. Most of the sales persons are in position to perform this function.

Attending Conventions

In conventions organized by company, sales persons interact with their peers about work situations and problems and arrive at a consensus of opinion on issues which impinge on their work. Conventions range in nature from company convention to industry conventions. They may be local, national or international in nature. These are important motivational and inspirational tools for the salespersons whose broad purposes are to:

1. Provide strength to the salesperson's identity with the company to executive.
2. Exchange information with salespersons.
3. Provide specialized training.
4. Provide sales persons with a change of pace.

Attending Trade Show

Trade shows are held seasonally or annually. Sales persons usually attend these trade shows not only to achieve sales, but also to understand competitors' products and prices. Technological, advancement in different area is also communicated to them through these trade shows. Ever since Trade Fair Authority of India has been set up various types of fairs and exhibitions including the Annual India International Trade Fair are being held regularly.

Attending Educational Workshops

Many lines of sales work afford the opportunity for continued formal education throughout a career. Many companies like NTPC, GNFC, etc. require their sales persons to follow a continued programme of studies in addition to company training.

Keeping Records

The job of sales person is incomplete until the paper work is completed. A salesperson has to prepare daily call reports including new accounts opening report, account closing reports etc. It is understandable that these records not only keep track of their day-to-day activities, but also provide past and present data to undertake for future analysis.

Activity 2

How would the selling job differ for following situation? Spot the most important activity for each of the following Jobs mentioned and justify.

1. A leading Hotel chain representative selling services to executive of a company.

2. An FMCG company sales representative selling personal care products e.g. soaps, shampoo to general merchants.
3. Footwear shop salesperson selling to a customer.
4. A Pharmaceutical company representative calling on the medical practitioner.
5. Branded computer company sales person selling computers, laptops to professionals.
6. Raymond's salesmen selling apparels at company's exclusive showroom.

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2.10 SUMMARY

Today personal selling has become a challenging profession. There has been a significant change in its role from being a simple order taker to that of an order maker or consultant to the buyers. Contemporary salespersons understand that they are the major link in the total marketing strategy for the company. If a company wants to maximize the effectiveness of its marketing programme, the personal selling effort must be effectively integrated with the other elements of the marketing mix.

More specifically this unit sought to highlight the importance of personal selling, various selling jobs, diversity of selling situations, and its relationship with marketing mix and process. With the growing complexity of products, importance of personal selling has increased. They now act as introducers, intelligent communicator as well as demand pushers and also add unique utility to product. Their role has changed drastically from being a simple communicator to business manager. In order to be successful a sales person must possess a set of personal, product related and functional qualities, as variety of analytical and administrative duties are important component of the job. Before approaching a prospect, every salesperson should do bit of homework regarding company's name, size, authority concern and general requirement. While meeting the prospect, sales person should introduce himself, his company and

the product under promotion. Product presentation and overcoming of customer objections, leads to convincing the customer and result in the closing of a mutually satisfying sale.

2.11 SELF ASSESSMENT QUESTIONS

1. Do you agree that a sales job requires a degree of mental toughness and physical stamina rarely demanded in other types of job? Discuss.
2. To what extent does the nature of the product, target market, company resources influence the sales job. Explain.
3. Discuss the changing role of personal selling.
4. Considerable diversity exists among personal selling situations. Critically examine the statement by analyzing different types of selling situations.
5. In the changing market situation, it is often referred that sales persons are in better position than past. Do you agree with the statement? Justify your answer.
6. Personal selling is a two-way communication best suited to a company marketing consumer product with a poor brand loyalty. Discuss.
7. Discuss the qualification and skills required for a salesperson to be effective and successful.

2.12 REFERENCES/ FURTHER READINGS

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Diversity of Selling Situations

ONLINE RESOURCES

1. Types and Function of Selling; <https://www.youtube.com/watch?v=uLvRahseM8Q>
2. The four-letter code to selling anything, Derek Thompson, TEDx, Binghamton University; <https://www.youtube.com/watch?v=6pY7EjqD3QA>
3. How to sell without selling your soul; Steve Harrison, <https://www.youtube.com/watch?v=fqdaRXQjTUE>
4. Types of Selling, <https://www.youtube.com/watch?v=8KJSGmbwfUQ>



UNIT 3 THEORIES OF SELLING AND SELLING PROCESS

Objectives

After reading this unit you should be able to:

- understand the relationship of personal selling in total scheme of marketing
- evaluate different theories of personal selling
- understand various components of personal selling to design the personal selling effort for an organization
- understand various steps of the sales process.

Structure

- 3.1 Introduction
- 3.2 Personal Selling and Marketing Effort
- 3.3 Difference between Advertising and Personal Selling
- 3.4 Significance of Personal Selling
- 3.5 Theories of Selling
 - AIDAS Theory
 - Right Set of Circumstances Theory
 - Buying Formula Theory
 - Behavioral Equation Theory
- 3.6 Personal Selling Process
 - Prospecting and Qualifying
 - Pre-approach
 - Approaching the Prospect
 - Sales Presentation and Demonstration
 - Negotiating Sales Resistance or Buyer Objections
 - Closing the Sales
 - Follow up and servicing the account
- 3.7 Summary
- 3.8 Self –Assessment Questions
- 3.9 References / Further Readings

3.1 INTRODUCTION

A sales person of Eureka Forbes when contacts a home maker and sells vacuum cleaner, he is actually doing personal selling. Whereas the sales person of Hindustan Unilever visits a grocery store and sells Lux, Lifebuoy, Wheel, etc., he's also practicing the personal selling technique in the whole transaction.

Assume a situation wherein you as a candidate want to be selected as a Sales Manager in a company after acquiring a Masters Degree in Business Management (MBA) from IGNOU, then you will be selling yourself to the prospective employers for the said position and thereby practice personal selling. A child asking for a favor from his mother by requesting her to buy him a chocolate or a pack of cookies is also practicing personal selling. With the above instances and situations so explained you would certainly agree of the fact that there is immense scope of personal selling that everybody has experienced as a seller or as a buyer at some point during their life time.

The goal of all marketing efforts is to increase profits through sales by offering need gratification to customers. Personal selling is a major promotional method to achieve this goal. In many companies, personal selling is the largest operating expense often totaling 7 to 13 per cent of sales. In contrast, the expenses on advertising on an average are just 1 to 3 per cent of sales for different companies.

In industrial product manufacturing companies personal selling is the major selling force. The nature of the goods, in industrial products, often requires certain specialized knowledge, which is presented in person by the salesperson. The value of the order generated by the salesperson in such a situation is so high that it makes the hiring of the sales person an economical proposition. Apart from industrial products, personal selling is a cornerstone of selling in organizations marketing products, which require specialized knowledge 'and skills. Such organizations are the ones marketing pharmaceutical products, medical instruments or electronic products, etc.

Let us also try to discover the need of personal selling effort in organizations marketing the fast-moving consumer goods (FMCG). In such organizations, the demand is often created through advertising but it is met through the personal selling effort. For example, the salesperson of Hindustan Unilever Limited does not go door-to door to meet the prospects to create demand of his products. But he goes to the grocery store so as to ensure that the brands being advertised by the company are made available at as many retail shops as possible. Thus, the objective of the personal selling effort in such a situation would be more of meeting the demand, already created by advertising or other promotional means, rather than to create it as in the case of industrial goods or pharmaceutical products.

In order to make it easier for one to understand, we shall discuss the personal selling process in separate parts.

3.2 PERSONAL SELLING AND MARKETING EFFORT

Personal selling is one of the important parts of the total marketing mix, and an essential component of Promotion-Mix. As you are aware that marketing mix comprises of 4 P's, which are; Product, Price, Promotion, and Place or Distribution.

The promotion-mix, as mentioned earlier as a key component of marketing-mix, has six elements. These include the Personal Selling, Advertising, Public Relations, Direct Marketing, Publicity, and Sales Promotions respectively.

The above introduction would help you in understanding the significance of personal selling in the overall marketing scene. Since the Personal Selling effort is managed by Sales Management Personnel, the topic is discussed under Sales Management and not under the purview of Promotion Management.

Personal selling is the process by which the representatives of the organization (Management Manufacturing and Marketing) come in direct contact with the prospects (potential buyers) to convince and persuade them to purchase their products. Personal selling, along with other components of promotion mix and marketing mix, is a means to implement marketing plan and strategy.

Almost all the organizations, in any industry, involved in marketing their products employ sales representatives or sales personnel to directly contact the potential buyers and persuade them to buy their products.

It may be worthwhile to distinguish between personal selling and salesmanship. While personal selling forms an important element in total scheme of Marketing Management, salesmanship, is one of the skills used in personal selling. Thus, salesmanship is a part of personal selling in the same manner as personal selling is a part of the promotion mix, and promotion is a part of the Marketing Mix.

3.3 DIFFERENCE BETWEEN ADVERTISING AND PERSONAL SELLING

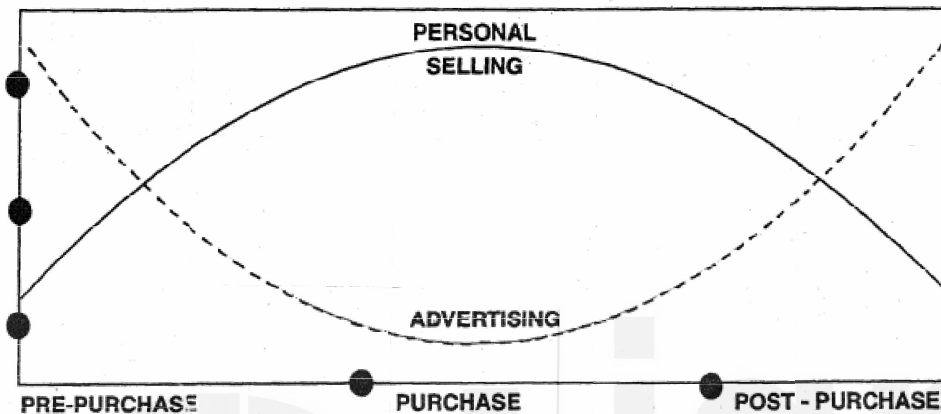
Let us now try and understand the difference between advertising and personal selling so as to clearly distinguish between these two important components of the promotion-mix.

From a broad perspective, both - the personal selling as well as the advertising - are the means to communicate with the target customers for the product or service of an organization. To be effective, i.e., to produce results, in terms of sales or orders, both should be understandable, interesting, believable and persuasive. We will discuss the process of designing a personal selling effort involving all these four criteria of an effective communication.

However, there are some notable differences between these two means of communication. While the personal selling effort is a two-way communication process, the advertising is a one-way communication. In the personal selling situation, as we have observed, the customer comes in direct contact with the salesperson that, represents an organization. The customer can ask any number of questions so as to seek answers to his/her queries about the product, the sales person is offering. It is the sales person's, responsibility to satisfy the customer on the attributes and benefits of the product. If he succeeds in doing so, he gets the desired sale or an order. Thus, the result of the personal selling, whether positive in terms of an order or negative in terms of no order, is immediate and easily measurable.

In advertising, on the other hand, the customer does not come in direct contact with any representative of the organization. Thus, it is a one-way communication. The reactions, attitudes or perceptions of the target audience cannot be immediately gauged in advertising.

Let's also understand a very interesting aspect of advertising and selling, with regard to their relative importance during three different stages of a product's marketing. The three phases can be the pre-purchase phase, the purchase phase and the post-purchase phase. The pre-purchase phase is characterized by the phase where the organization is trying to convince the targeted customers on the benefits of the product/brand. The purchase phase is the time/duration when the customer is making up his/her mind to finally buy the product. The post-purchase phase is one when the customer has bought the product and is evaluating the decision.



Advertising has a major role during the pre-purchase phase as the mass demand for product has to be generated. The advertising also plays an important role in post-purchase phase as it provides reassurance to the purchaser that he/she has taken a sound decision in buying the product. The personal selling, on the other hand, has an important role to play in all the three phases. It plays a major role in the purchase phase.

3.4 SIGNIFICANCE OF PERSONAL SELLING

It is important to understand the significance and objectives of personal selling effort in overall scheme of Marketing. More specifically it helps as follows:

- I. Personal Selling implements the marketing strategies
- II. Whatever is the marketing strategy of the company, it boils down to strategic communication, targeted at customers or prospects. The person who communicates with the prospects is the sales representative, though different companies attach different designations to them. It is the salesmanship of that sales representative which brings orders, the tangible results, to meet the marketing objectives.
- III. Personal Selling brings sales revenue to the company.
- IV. It is the personal selling which results in sales revenue from the customers and brings it to the company. While other components of an organization are cost components.
- V. Personal Selling makes the organization known or is being recognized.
- VI. All organizations are known in the target market through their sales staff. Such companies invariably, do not advertise. For example,

companies engaged in industrial products marketing or marketing pharmaceutical do not advertise much. Even in companies, which advertise, personal selling carries the same significance, as the sales representative creates goodwill for the company.

- VII. Personal Selling creates and maintains customers as assets.
- VIII. The sales representative is the best overall manager of his territory. He has the responsibility of maintaining the current business, as well as developing new businesses. He meets these objectives by creating new customers and maintaining and developing existing customers.
- IX. Personal Selling is a source of feedback.
- X. A company is known in the market place through its sales representatives and in turn the company knows its target market through its representatives. That is why the field sales personnel are considered to be an excellent source of market intelligence information.
- XI. Personal selling makes New Products launch successful.

It is through the personal selling effort a sales-representative is able to provide adequate information on new products to prospective customers. Personal selling effort also ensures the availability of the product in the market place widely as a result of the sales representative's developed relationships with the trade, i.e. retailers, wholesalers and other channel partners. The sales representative provides the information to the company on customer's response to a new product and the competitor's activities.

Thus, it can rightly be said that an organization sees and hears through the personal selling effort i.e., Sales-representatives are the eyes and ears of an organization.

3.5 THEORIES OF SELLING

Before we discuss the actual process of selling, let us understand the theories of selling. There are four main theories of selling, which are as follows:

1. AIDAS Theory
2. Right Set of Circumstances Theory
3. Buying Formula Theory
4. Behavioral Equation Theory

AIDAS Theory

This theory is based on the premise that during a sales presentation, the prospect consciously goes through five different stages. These are: ATTENTION, INTEREST, DESIRE, ACTION AND SATISFACTION. In fact, the name of this theory has been derived from the initial letters of these words. The proponents of this theory believe that the salesperson should design his presentation in such a manner, which takes care of all these stages of the process of selling. The details of five components of AIDAS theory are as follows:

Attention

The sales person should attract the prospect to his presentation before he actually goes into the details of the same. This is to ensure that the prospect becomes receptive to the presentation.

Let us understand the need for securing attention. We all appreciate the fact that usually the prospect may be busy in his routine jobs or his daily assignments. Thus, before meeting the salesperson the prospect's mind may be involved in something other than the topic which even remotely is not concerned with the product, about which the sales person is going to present.

Unless the salesperson engages the prospect's mind in the presentation, his total effort may go unnoticed or unregistered. Drawing the prospect's attention, therefore, is equal to dissociating him from other assignments and involves him in the presentation, both physically and mentally, so as to gain maximum from the sales meeting.

Interest

Once the salesperson has successfully gained the prospect's attention, he/she should maintain the interest of the prospect throughout the presentation. In other words, the salesperson should ensure that the prospect remains glued to his presentation throughout and that he does not wander away from the same. The sales person should be aware of the interest, likes, dislikes, attitude and motivation of the prospect and should proceed with the presentation, keeping in view all these factors.

Desire

The next step in the sales process, as per AIDAS theory, is to create a strong desire in the prospect's mind to purchase his product. The salesperson should consciously try to bring the prospect into this stage of readiness to the point of buying his product. He should concentrate on projecting the benefits of his product to the prospect. He should go even to the extent of presenting benefits according to the motivation of the prospect.

The salesperson should also be prepared to anticipate the resistance to his sales presentation in terms of objections or questions from the prospect. Not only that, he should be prepared with several answers and give explanations to the objections.

Action

Once the salesperson has been successful in taking his prospect through the three stages, as discussed above, he should induce the prospect into actually buying the product. It would be interesting for us to understand that even after going through the three stages of attention, interest and desire; the prospect may still have some doubt or some inertia which will stop him from taking the final decision of actually buying the product. Hence, it becomes an important task of the salesperson to help his prospect in taking the final decision.

At times, we also experience the inertia, as a prospect. We might have liked the vacuum cleaner of Eureka Forbes during its presentation at our home by the company's sales person. He might have answered all our objections quite

satisfactorily. It is now up to us to take the final decision of placing an order. But we keep on thinking whether to go for the same or not. Try to recollect, what the sales person told you at that time. He must have said, “Sir, should I send the machine tomorrow or today?” or “Sir, we also have an attractive finance option whereby you can pay in instalments. Or “Sir, only for you I can ask my sales manager for a 10% discount on the billing price.”

As we have observed, the sales person tries to push us into a situation to take a decision. And he has exercised the technique of closing very skillfully. This is what is expected of a salesperson in this stage.

Satisfaction

Once the prospect has placed an order, the salesperson should ensure that the prospect carries the impressions of having taken the right decision. He should always thank the prospect and even go to the extent of saying, “I appreciate your choice sir, and you have taken an excellent decision”.

The salesperson should also ensure that the delivery of the order takes place within the time promised and all other promises are kept, regarding installation, free servicing, etc. Moreover, the salesperson should try to keep in touch with his prospects and should keep enquiring about the satisfactory performance of his purchase.

Right Set of Circumstances Theory

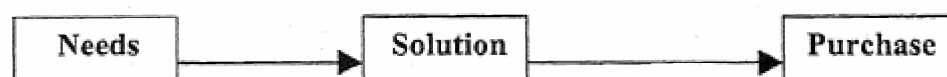
Everything was right for the sale that sums up this theory. The advocates of this theory opine-that all the circumstances, which led to the sales were appropriate or “right” for the sales to have taken place. In other words, if the salesperson is successful in securing the prospect’s attention, maintaining his interest and inducing his desire to buy the product, the sales will result. Moreover, if the salesperson is highly skilled, he will take control of the presentation, which would lead to sale.

Buying - Formula Theory

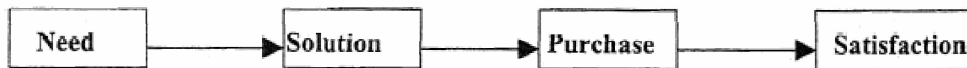
In the earlier theories, emphasis was on the sales person or the seller. In this theory, the emphasis is on the buyer. This theory emphasizes the needs or problems of the buyer. The salesperson assists the buyer in finding an appropriate solution to the problem. This solution may be in terms of a product or service.

The Buying - Formula theory is based on the analysis of the sequence of events that goes in the buyers’ mind during the sales presentation. Thus, the theory emphasizes on the factors internal to the prospect and the factors, as also external factors, that influence the prospect’s decision to buy the product. The theory is based on the presumption that the salesperson will take care of the external factors.

The sequence of events in a prospect’s mind can be represented as:



There are all the chances that a continuous relationship will develop between the prospect and the salesperson. As a result of sales, the satisfaction will also come in the same sequence. The sequence can be presented as:



Furthermore, whenever a need is felt, the solution is available in the form of a product or service or both. A product or a service is offered by a manufacturer or a marketing agency. The product, service or the manufacturer may also have a brand name.



For example, if someone is feeling hungry, he/she has a need. The solution lies in food. So, the sequence of events in his/her mind will progress from need (hunger) to solution (food). The next step will be “What food,”, whether it is Indian, continental, or Chinese. This step will ensure the decision on the product (fast-food). Now the person will think about the brand in the fast-food category. It may be KFC, Haldiram’s, Sagar Ratna, etc. On taking this decision about the brand, the consumer will purchase the food. His satisfaction or dissatisfaction will depend on the delivery time, taste, quality, seating space; etc. This sequence of events may thus be represented as:

Behavioral Equation Theory

Using a stimulus-response model and incorporating findings from behavioral research. A. Howard explained the buying behavior in terms of the purchasing decision process, viewed as phases of the learning process.

Four essential elements of the learning elements of the learning process in stimulus response model are:

- Drives (Motives); refers to internal stimuli
- Cue; weak stimuli that determine whether buyer will respond
- Response; is what buyer does and
- Reinforcement; is any event that strengthens buyer’s tendency to make a particular response

Howard incorporates these elements in an equation as follows:

$$B = P * D * K * V$$

Where,

B is the response/internal response tendency; act of purchasing a brand patronizing a supplier

P the predispositions or inward response tendency i.e., force of habit

D the present drive level

K is the incentive potential; value of the product or its potential satisfaction to the buyer

V the intensity of all cues; triggering, or informational

The relation among variables is multiplicative. Thus, if any independent variable has zero value, **B** will be zero and there is no response. Whatever be value of **P** (assuming), if the individual is NOT motivated; (**D**=0), there is no response. Also, each time there is a response – in which satisfaction (**K**) is sufficient to yield a reward, predisposition (**P**) increases in value.

In practice, most of the sales presentations or the personal selling efforts are based on one or a combination of the theories discussed above.

3.6 PERSONAL SELLING PROCESS

In order to have a better grasp of the subject under discussion, we shall discuss one by one each of the following stages of the personal selling process:

- Prospecting and Qualifying
- Pre-approach
- Approaching the Prospect
- Sales Presentation and Demonstration
- Negotiating Sales Resistance or Buyer Objections
- Closing the Sales
- Follow-up and Servicing the Account

Prospecting and Qualifying

Customers continuously leave organizations for various reasons – death, bankruptcy, relocation or switching to other suppliers. To increase or even to maintain sales volume, salespersons must continuously search for potential new customers, called *prospects*. **Prospecting** requires salespersons to first obtain *leads*. A **lead** is basically the name, address and contact number of a person or organization potentially needing the company's products or services. Before considering a lead to be a valid prospect, the salesperson must qualify it in terms of *need or want*, *authority to buy*, *capacity to buy*, and *eligibility to buy*. One way to remember these four qualifiers is the acronym **NAME**, which consists of the initials of each prospecting stage. Various random lead and selective lead searching methods are given in the following table:

Searching for and identifying Business and Organizational Leads	
RANDOM-LEAD SEARCHING METHODS	
✓ Door to door canvassing	✓ Territory blitz of organizations
✓ Cold calls on organizations	✓ Advertising
✓ Websites	✓ E-mail

SELECTIVE-LEAD SEARCHING MEHODS	
Direct Sources	Indirect Sources
• Networking through friends, colleagues • Personal observation • Current satisfied customers, ex-customers • Endless chain from prospects and referrals • Influence groups; social/business groups • Surveys • Internet • Sales associates • Company records, data Bases	• Postal or e-sales letters • Trade shows • Seminars and Conferences • Contests • Un-solicited enquiries • Tele-marketing

Activity 1

You are the Sales Manager of a company marketing consumer appliances. Enumerate various sources that you can look for enlisting the potential prospects for your products.

Pre-approach

In pre-approach or planning stage salespersons undertake various steps. An effective way to prepare the prospect for the first sales call is called *seeding*.

Before meeting a selected customer, the salesperson should find out as much information as possible. In case of an organization, the salesperson should know what products the organization is currently using and how product being offered is superior. The sales person should also find out what is the purchase procedure in the organization and what is the total budget earmarked by the organization, for the products. The sales person should also try to find out likes/dislikes of prospective buyers so as to structure the presentation to suit the prospect. The salesperson should also have a clear idea about the type of questions that the prospect may ask so as to prepare himself to clarify the same.

The following table outlines the steps to be carried out by salespersons in the pre-approach stage.

Steps in Pre-approach Planning	
✓	Prepare the prospect for the initial call.
✓	‘Sell’ the sales call appointment to the prospect through pre-notification.
✓	Gather and analyze information about the prospect.
✓	Conduct Problem and Need assessment of the prospect.
✓	Identify the product features, advantages and benefits likely to be of most interest to the prospect with main focus on the benefits.
✓	Select the best presentation and demonstration strategy for the prospect.
✓	Plan and rehearse your approach to the prospect.

Approaching the Prospect

Salespersons make critical and often long-lasting impressions in the ‘Approach’ stage. Several methods for approaching the prospect can succeed, ranging from a referral by a mutual acquaintance to product demonstration. The following table includes some strategies for approaching prospects:

Strategies for Approaching Prospects	
NON-PRODUCT RELATED APPROACHES	
Mutual Acquaintance or Reference	Mention the names of satisfied customers whom the prospect respects.
Self-Introduction	Professionally greet the prospect.
Free Gift or Sample	Offer a free gift, sample or lunch invite.
Dramatic Act	Do something dramatic memorable in a positive way to capture the prospect’s attention.
PIQUING-INTEREST APPROACHES	
Customer Benefit	Offer the potential customer a benefit immediately.
Curiosity	Offer the prospect a benefit that appeals to the prospect’s curiosity.
CONSUMER-DIRECTED APPROACHES	
Compliment or praise	Subtly but sincerely complement the prospect.

Survey	Ask permission to obtain information about whether the prospect might need your product.
Question	Involve the prospect in two way communication early on by asking a question.
PRODUCT RELATED APPROACHES	
Product or Ingredient	Show the prospect the product or a model of the product.
Product Demonstration	Begin demonstrating the product on first meeting the prospect.

Sales Presentation and Demonstration

Persuasive communication is at the heart of the process of personal selling. In essence, it amounts to using all the information, knowledge and skills of the sales person, so as to actually make the sales. In this stage, a sales person draws ATTENTION of the customers, holds INTEREST in his offering, builds the DESIRE for his product and finally stimulates his customer to take a favorable ACTION towards his product, i.e., the prospect purchases his product. As discussed in the theories of selling, it involves implementing the AIDAS theory of selling.

Draw Attention

The prospects, attention can be drawn by asking a creative question, or by pointing out a startling new fact about the product. By trying to find out the real need of the customer and then phrasing the question in such a manner that it actually tells the customer that your product can meet the prospect's needs.

A sales person, of a company marketing medicines, can ask a lady doctor who is looking for an antibiotic which is safe during pregnancy may ask the prospect, "Are you in need of an effective antibiotic which is also safe in pregnancy?"

This technique of asking questions to the prospects with the objective of drawing his/her attention to the salesman's presentation is called the technique of probing. As we have observed from the types of question cited above that the prospect can answer such questions in 'Yes' or 'No' (one word answer). Therefore, such probes are known as CLOSED PROBES.

Though these questions help to draw the prospect's attention, these are not as effective as the questions, which give an opportunity to the prospect to come out with his real problem or needs. Such probes are termed as OPEN PROBES.

The examples of such probes can be a sales man selling printing machines asking a prospect, "Sir, how do you feel about the printing machine which prints 300 copies per minutes?" Another example of an open probe can be a sales person from a pharmaceutical company asking a lady doctor "How would

you react to the safety of currently available antibiotics, especially during pregnancy?”

As we can imagine such open probes will draw better attention of the prospects than closed probes. Not only that, the prospect will also be more interested in the salesman's offering due to an open probe, because the prospect has spent some time thinking about his/her problem while answering the salesman's probe. Thus, at times, an open probe is better than a closed probe in drawing the prospect's attention.

Hold Interest and Build Desire

After drawing attention the sales person should hold the INTEREST of the customer in his sales talk. Here there is no set pattern. Also, there is no choice other than actually demonstrating the performance of the product. In such instances where the salesperson can't demonstrate the performance of his product, he should creatively use various audio-visual media to hold INTEREST of the customers. In a large number of cases the sales person uses various promotional inputs like literatures, gifts, visual aids, voice modulation, pitch, tone, body language, etc., to maintain the INTEREST of his customers in his presentation.

While making the presentation, the sales person uses various presentation inputs like brochures, literatures (as stated above). Here it should be emphasized that these inputs are just the promotional inputs, or the sales aids. Obviously, they have no effect without proper use and effective handling by the sales man in presence of the prospect. Their effectiveness can be best utilized by a sales person possessing the requisite skills to use these presentation inputs, and without these skills they are mere objects.

So, what are the skills required for effective utilization of these presentation inputs with the objective of holding the interest of the prospect? The skills are:

- Excellent communication ability
- Good command over language
- Excellent knowledge about the product and the competitors' product
- Ability to keep the presentation coherent
- Good public speaking ability
- Ability to win the customer by understanding his/her needs

Furthermore, before the salesperson goes to make the presentation to the prospective buyer, the sales person must rehearse his complete presentation, several times. This will go a long way in inculcating the necessary confidence in the sales person.

The desire of a customer can be built by emphasizing on those benefits of the product, which meet the customer's present needs, and promise the customer his value for money. For example, emphasizing on high mileage per litre of petrol can arouse the desire of junior level executives to buy a fuel-efficient

automobile. As we know, junior executives are comparatively less paid and an economical vehicle can be one, they are looking for.

In other words, the sales person should translate the features or attributes of his product into the benefits that the prospect is going to desire. The prospect is not only interested in the features or attributes of the product, but he is interested in the benefits and how the product is going to make his life better. For example, the aluminum engine in Maruti Swift car is a feature of the car. It makes the car lighter in weight and hence more mileage per litre of fuel is the benefit to its owner. The use of a Super Horn speaker in Samsung color TV is only a feature. The benefit to the owner is a better quality of sound and a stereo effect. Similarly, a medicine works 24 hours in the body, is a feature. The benefit is that the medicine has to be taken only once in 24 hours by the patient. This is much better than a medicine which works for 8 hours, and has to be taken 3 times in a day.

This is the magic that translating features into benefits can create. It is an essential aspect of a salesman's functioning in the total framework of the selling process. The objective is to creatively establish a desire in the prospect for the product.

Activity 2

Look for any four brands of TV and list their attributes. Convert these attributes into potential benefits for the prospects assuming you are the Sales Manager for these brands.

Negotiating Sales Resistance or Buyer Objections

This part of the selling process is also a very important part: It concerns with the resistance that the prospect exhibits during a sales call. Even after proper prospecting, preparation to meet each individual and making a winning presentation, the sales personnel can face some resistance from the prospects. Such a resistance may be exhibited, typically, in terms of objections. The objections may be sincere or not so sincere reasons put forth by the prospects in order to circumvent or the culmination of a sales call into the actual purchase. An objection requires a tactful handling by the sales person otherwise; it can spoil the sales person's total effort in securing order. The sincere objections are the real objections or real reasons put forth by the prospect for not buying the product. Insincere objections, on the other hand, are the imaginary or unreal objections.

A few examples of real objections are, -I have no surplus cash at the moment to buy your product, though I am convinced about its utility". "I have recently bought a similar product". Sincere objections can also be put by the prospects to gather more information about the product, like, "What will you guarantee about the product", or "How quickly your service network responds," or "How much time your service personnel usually take to attend complaint."

The examples of insincere objections are "Why did you go for a green color cough syrup, had it been red. I would have purchased it."

Meeting; the Sales Resistance

An objection indicates that the customer has attentively listened to the presentation and the sales person has been effective up to this stage. However, in order to handle the objections effectively, following objection handling system can be applied:

i. Listen to Objections:

Usually the sales persons do not treat customers' objections as opportunities. They treat them as customer's resistance. In protecting themselves from such a resistance, the sales persons jump on to an objection even before the customer has completed the same. However, the salesperson must listen to the objections very carefully. Otherwise, he may inadvertently irritate the customer and may lose a winning sale. Moreover, a careful listening will also give an opportunity to the sales person to analyze the objection whether it is sincere or insincere. Accordingly, then he can handle the objections.

ii. Ask for Details:

If the objection is not clear to the sales person, he should ask the customer to elaborate on his objection. Here the sales person must avoid sarcasm and have patience. If nothing else, this technique will give more time to a sales person to think how to utilize the opportunity.

iii. Respond to the Objection:

More often than not the salespersons, who have good knowledge about their product, competitors' products, and customers, can answer the objections effectively. All objections are questions and only a knowledgeable salesperson can provide the answers.

After having carefully listened to and analyzed an objection, the salesperson should answer politely but firmly. If it was a sincere objection like "I have no surplus cash to purchase your product" and if the salesperson has a finance option he can answer "Sir, in that case we can provide this product to you on a deferred payment plan." To a details-gathering question, like, "How quick are your service personnel to attend to a complaint", the sales person could answer "Sir, I appreciate your concern about a quick service. Sir, I may inform you that we have one of the largest fleets of mobile service controls. As soon as, your complaint is registered at our central complaint cell, it is communicated to the mobile service center of your area, to immediately attend to your complaint."

The salesperson should be sure about the truthfulness of the information being provided to the prospect in response to his sincere objection. The sales person should not give wrong information to the prospect under the lure of securing an order. If he does so, he may secure the order but will lose a customer for future. Not only that, he may also lose his face and the credibility of the organization.

While answering an insincere objection, the sales person has to exercise more of tact than depending on his knowledge. To an objection on green color of cough syrup, the sales person may respond, “I appreciate your taste for colors and I also feel that the product should have been in red color, but our marketing executives conducted a market survey in which the same preparation was shown in various colors to various doctors and most of the doctors liked the green color.

iv. **Confirm the Answer:**

An effective sales person should not leave the objection by answering it. He should confirm whether the customer has understood the answer. The customer may have missed the point. He might have been thinking of something else at that point of time. To confirm the answer, a sales person may ask the customer, in specific statements like; “Now, does that settle the matter?” or “Hope that solves your problem?”

v. **Immediately go to the Next Step:**

After the answer has been confirmed with the prospect, the sales person should move on to the next step of personal selling process and i.e., to close of the sales call.

Activity 3

“Objections are the opportunities for salesperson to culminate his sales presentation into an order”. Critically analyze the statement.

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Closing the Sale

Closing a sale is nothing but helping prospects to take decisions. Unless a sales person bases his actions on this premise, he would be trying to build success on false notions.

Let us recognize the fact that usually the prospects have an innate feeling to resist the decision to buy a product. Even after the excellent presentation, and effective handling of his objections by the salesperson, the prospect may mentally try to dissociate himself from placing an order, not because of a valid and sound reason but just because of that innate feeling to oppose the decision of buying a product. Unless the sales person manages to push these prospects

into taking the decision to buy the products, he may not finalize an order. A salesperson skilled in the technique of closing just does that. He persuades the prospect into a buying decision.

There are some well-tried and tested techniques for effectively closing the sales. Some of these are:

Alternate Close *The Salesperson asks the customer to choose from the two options. Sales person: "should I send you two boxes of 50 bottles each (of cough syrup) or one box of 100 bottles"? Customer "One box of 100 bottles would do." Sales person "Sir do you want the refrigerator to be delivered at your residence in the morning or in the evening. Customer: Only date in the evening. What has happened? The customer has actually bought your product.*

Summary Close *In this type of a close, the sales person summarizes all his product benefits and asks for an order.*

Picture Close *Here the sales person tries to imprint the brand name more firmly in prospect's mind and at the same time asks for an order. Sales person "Sir, you know, our company has products with the brand METRO But for ceiling fans it reads in the reverse order, that is ORTEM. Isn't it interesting?" Customer: "Yes that is interesting; please send me two sets of fans".*

Apart from these types of "closes" an effective sales person should also remember two more important characteristics of the 'close'. Firstly, it is important to close with empathy and secondly to close the deal through empathy. A sales person should sincerely try to make his customer need your product. As a matter of fact, an average person cannot make decisions about investing in anything without help. It is this help which should be provided by the sales persons. This is the rational to close with empathy.

A sales person should see the benefits and features in his product from his potential customer's viewpoint. He should also see the limitations of his product through his customer's viewpoint. He should close on the benefits, which his customer gets. This will help a sales person improve his credibility in the eyes of his customers which in turn will not only get him the current sales deal but also get him a promise of future sales too.

Follow-up and Servicing the Account

After the deal is complete an effective salespersons just do not disappear. Instead, they maintain close contact with the customer to attend to their grievances, if any. Also, they offer customer service such as installation, repair or credit approvals etc. It is far easier and less costly to keep present customers satisfied than to search for and acquire new customers. Fully satisfied customers prove to be loyal customers and repeat buyers.

3.7 SUMMARY

Personal selling is an important component of overall marketing effort of an organization. The association of personal selling in total scheme of things in the overall marketing is that it is an important component of 'Promotion Mix', which in turn, is one of the constituents of 'Marketing Mix'. It's significance

in total marketing effort can't be underestimated as the personal selling implements the marketing strategies, brings revenue to the company, makes the organization known, maintains and creates customers, makes new products successful and works as a feedback source.

The personal selling process is a scientific process involving the creative utilization of various steps like prospecting, approach individual prospects, making the presentation, and negotiating the buyers' objections to finally closing the sales. It is the creative implementation of the concepts of drawing attention, holding interest, building the desire and stimulating the action, which makes the presentation very effective.

An effective sales person should close a sales presentation when: the customers have mostly been listening, and suddenly start asking a lot of questions, or when the customers favors an alternate close, or may be when the customers give a positive stimulus at the right time.

This completes our discussion on the process of personal selling. It goes without saying that a salesperson who practices various steps of the process, sincerely and diligently, would definitely become an effective sales person.

3.8 SELF ASSESSMENT QUESTIONS

1. How does Personal selling relate to the marketing function of an organization?
2. What are the various theories of personal selling? Compare and contrast them with the help of suitable examples.
3. What are the various steps involved in the sales process? Discuss briefly the importance of each the steps.
4. It is said that closing a sales call is important, like the other steps of the sales interaction. Discuss.

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Online Resources

- A. Sales Techniques on selling and influence: <https://www.youtube.com/watch?v=5LgYlq8gKJU>
- B. How selling services is different from products?; <https://www.youtube.com/watch?v=aUZfwUcIyFc>
- C. The steps of Personal Selling Process: https://www.youtube.com/watch?v=zrHEXW_ZUWc
- D. The Psychology of Selling: <https://www.youtube.com/watch?v=p-nQzB51lsE&t=1s>

